
RE: EXT: Re: New ICCSD Director of Financial Reporting

Kristen.Hughes@rsmus.com Hughes, Kristen

Thursday, September 5, 2024 at 7:48:25AM Central Daylight Time

To: moran.alan@iowacityschools.org Alan Moran, Aaron.Calderon@rsmus.com Calderon, Aaron

Cc: kurth.adam@iowacityschools.org Adam Kurth

Morning Alan – nice to meet you. I just pushed an invite to you from the Suralink site that should give you access to the audit site, please let us know if you don't receive but should hopefully be in your inbox shortly if not already.

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Aaron and I can reach out after we chat end of day today with an update, thank you!

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From: Alan Moran <moran.alan@iowacityschools.org>

Sent: Thursday, September 5, 2024 7:40 AM

To: Hughes, Kristen <Kristen.Hughes@rsmus.com>; Calderon, Aaron <Aaron.Calderon@rsmus.com>

Cc: Adam Kurth <kurth.adam@iowacityschools.org>

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Cheers,

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Fax: 319.688.1009
<http://www.iowacityschools.org>

Thursday, September 5, 2024 at 7:47:36 PM Central Daylight Time

Aaron.Calderon@rsmus.com Calderon, Aaron

To: kurth.adam@iowacityschools.org Adam Kurth, moran.alan@iowacityschools.org Alan Moran,
degner.matt@iowacityschools.org degner.matt@iowacityschools.org
Cc: Kristen.Hughes@rsmus.com Hughes, Kristen

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Assurance Manager

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degner.matt@iowacityschools.org Matt Degner

Friday, September 6, 2024 at 4:05:38 PM Central Daylight Time

To: Aaron.Calderon@rsmus.com Calderon, Aaron

Cc: kurth.adam@iowacityschools.org Adam Kurth, moran.alan@iowacityschools.org Alan Moran, Kristen.Hughes@rsmus.com Hughes, Kristen

Thank you Aaron. I know the team started work on these items today.

Matt

Matt Degner

Superintendent

Iowa City Community School District
Educational Services Center
1725 North Dodge St.
Iowa City, Iowa 52240
www.IowaCitySchools.org



**IOWA CITY COMMUNITY
SCHOOL DISTRICT**
All In for All Kids

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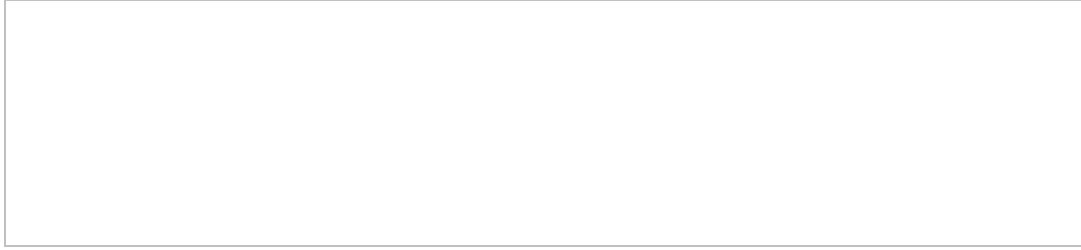
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To: kurth.adam@iowacityschools.org Adam Kurth

Monday, September 9, 2024 at 8:19:53AM Central Daylight Time

Adam,

Can you make sure I have access to where we store our audit workpapers internally, or send me the network path?

Alan Laurits Moran, CPA
He/him/his ([what is this?](#))
Director of Financial Reporting

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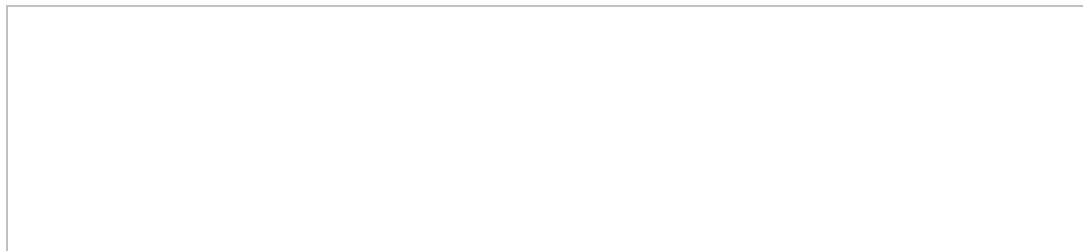
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Good morning RSM,

Would you please confirm for me the Audit workpaper reference numbers for these items for me to review?

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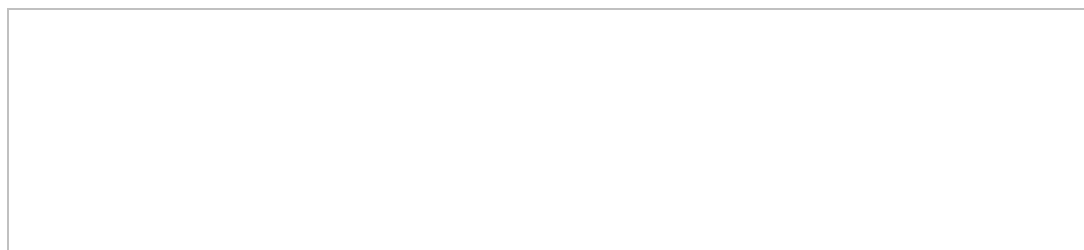
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Phone: 319.688.1000
Fax: 319.688.1009
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moran.alan@iowacityschools.org Alan Moran
To: kurth.adam@iowacityschools.org Adam Kurth

Monday, September 9, 2024 at 10:35:46AM Central Daylight Time

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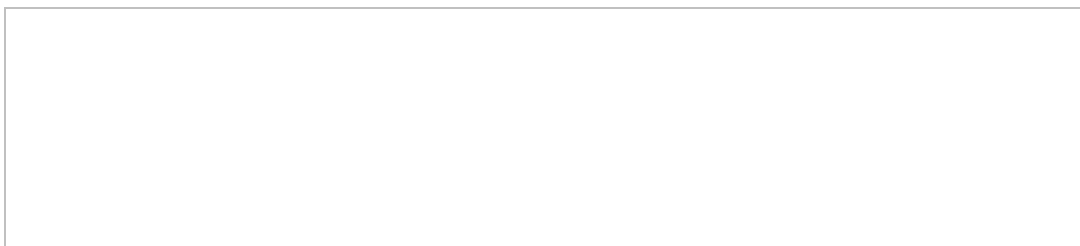
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kurth.adam@iowacityschools.org Adam Kurth
To: moran.alan@iowacityschools.org Alan Moran

Monday, September 9, 2024 at 10:50:43AM Central Daylight Time

Just shared a folder with you that has all of the previous-year audit workpapers, including 21-22. Note that the 22-23 folder there is different than the one I shared with you, and is not up to date.

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Aaron.Calderon@rsmus.com Calderon, Aaron

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To: moran.alan@iowacityschools.org Alan Moran

Cc: kurth.adam@iowacityschools.org Adam Kurth, degner.matt@iowacityschools.org degner.matt@iowacityschools.org,
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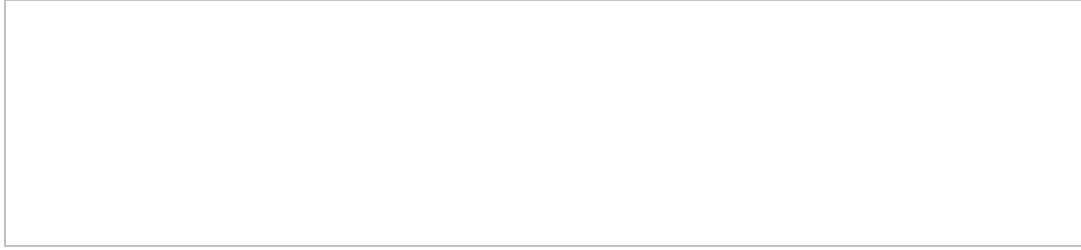
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Thanks Aaron,

It looks like I was looking at an older version of this file on our network.

1. This should be pretty straight forward, I'm assuming you want a CIP rollforward? **Would you be able to send me a copy of the FY22 CIP workpaper** so I can use that as a starting balance and roll forward the detail to FY 23?
2. In the process of digging this up, just need to find the support.
3. On the IBNR, It looks like an entry may be missing, since the balance on the BS ties to the closing balance from PY. It also looks like on the IBNR lookback, the 022 numbers were used to calculate the change in the benefits payable. I'm assuming you were expecting something closer to \$1,485,473? I'll need to get this booked, and the footnote updated.
4. This Might also take a minute, it looks like the condensed statement of net position is OOB, so I'll need to trace that through. I'm also seeing some 2022 closing balances not tying to the 2023 opening balances. Once I have the other items squared away and have the updates posted to the GL I'll get it reconciled and tied out.

Sorry for the delays, just need a little bit to get up to speed.

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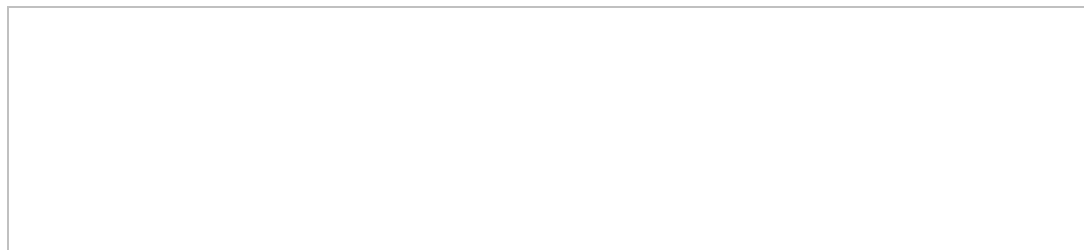
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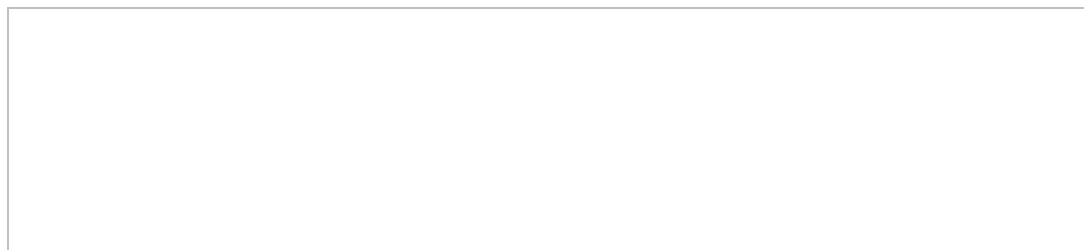
Aaron Calderon

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4650 E. 53rd St., Davenport, IA, 52807

D: 563.888.4088 **F:** 563.324.6939 | **E:** Aaron.Calderon@rsmus.com | **W:** www.rsmus.com



From: Hughes, Kristen <Kristen.Hughes@rsmus.com>

Sent: Thursday, September 5, 2024 7:48 AM

To: Alan Moran <moran.alan@iowacityschools.org>; Calderon, Aaron <Aaron.Calderon@rsmus.com>

Cc: Adam Kurth <kurth.adam@iowacityschools.org>

Subject: RE: EXT: Re: New ICCSD Director of Financial Reporting

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moran.alan@iowacityschools.org Alan Moran
To: Aaron.Calderon@rsmus.com Calderon, Aaron
Cc: kurth.adam@iowacityschools.org Adam Kurth

Tuesday, September 10, 2024 at 11:54:05AM Central Daylight Time

Good morning Aaron,

I may have found an issue with the CIP balance. It looks like a portion of the retainage capitalized into CIP for FY22 may have been double counted, overstating CIP by about \$905,000. I'm hoping there is something I'm missing here, but it feels fairly clear cut. I'm also not sure how many years this has been done, or the total overstatement of the FA portfolio (Hopefully since It is though CIP, the variance I would hope would wash out with capitalization, but Haven't been able to quite tie out the records just yet).

Please let me know if you would like to discuss further, or how you would like us to proceed.

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Aaron.Calderon@rsmus.com Calderon, Aaron

Tuesday, September 10, 2024 at 12:51:51 PM Central Daylight Time

To: moran.alan@iowacityschools.org Alan Moran

Cc: kurth.adam@iowacityschools.org Adam Kurth, degner.matt@iowacityschools.org degner.matt@iowacityschools.org, Kristen.Hughes@rsmus.com Hughes, Kristen

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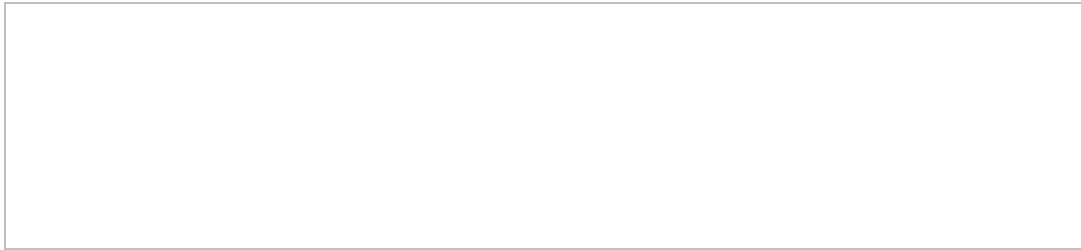
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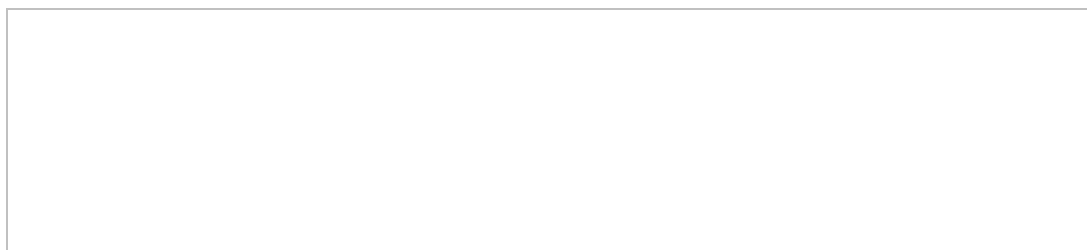
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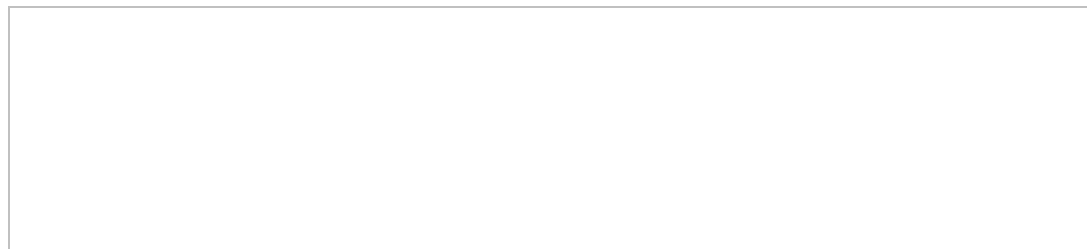
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The #1 Item I don't need anymore. I am still concerned the 2022 (And thus opening balance for FY23) of CIP was overstated.

The variance between the two numbers is the IBNR + the 7/3 payment for Dental claims, which is what has historically been recorded (I updated the workpaper on our end to clarify this, but given that IBNR is an estimate, if you don't think we need to accrue in the 7/3 payment, I'm more than happy to back it out).

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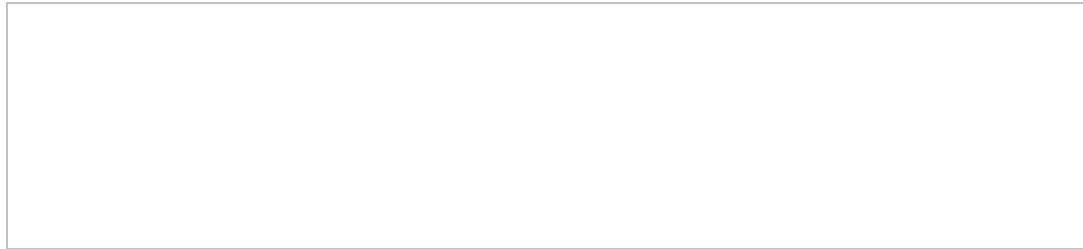
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Alan Laurits Moran, CPA
He/him/his ([what is this?](#))
Director of Financial Reporting
Iowa City Community School District
1725 North Dodge Street
Iowa City, IA 52245-9589
Phone: 319.688.1000
Fax: 319.688.1009
<http://www.iowacityschools.org>

On Mon, Sep 9, 2024 at 12:21 PM Calderon, Aaron <Aaron.Calderon@rsmus.com> wrote:

Good Morning Alan,

Please see below—I've added numbers in red to the original email. All are on the "Open Items Page."

Thank you,

Aaron Calderon

Assurance Manager

RSM US LLP

4650 E. 53rd St., Davenport, IA, 52807

D: 563.888.4088 **F:** 563.324.6939 | **E:** Aaron.Calderon@rsmus.com | **W:** www.rsmus.com



From: Alan Moran <moran.alan@iowacityschools.org>
Sent: Monday, September 9, 2024 9:01 AM
To: Calderon, Aaron <Aaron.Calderon@rsmus.com>
Cc: Adam Kurth <kurth.adam@iowacityschools.org>; degner.matt@iowacityschools.org; Hughes, Kristen <Kristen.Hughes@rsmus.com>
Subject: Re: EXT: Re: New ICCSD Director of Financial Reporting

Good morning RSM,

Would you please confirm for me the Audit workpaper reference numbers for these items for me to review?

Thank you,

Alan Laurits Moran, CPA
He/him/his ([what is this?](#))
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On Thu, Sep 5, 2024 at 7:47 PM Calderon, Aaron <Aaron.Calderon@rsmus.com> wrote:

Good Evening Everyone,

I hope you all are well, and it is also good to meet you Alan. As Kristen mentioned we've done a high level review of PBCs and wanted to go ahead and send over a couple of initial questions/observations while we continue to evaluate:

- We saw your note on CIP. Based on the way the detail/formula in the "FY2023 Construction" PBC is set up we believe it is calculating ending CIP, but we also believe we still would need a CIP additions detail showing all additions during the year (even those eventually placed in service).
 - See Suralink #74 under "Capital Assets." The "FY2023 Construction" PBC includes information on CIP, but based on the nature of that report we believe it is more likely to be calculating ending CIP (i.e. summing CIP additions but only for those projects still in CIP at year-end—in order to calculate total CIP additions there'd need to be a way to take into account all projects, including those placed in service during the year). What we are specifically looking for is an additions detail for the year for

CIP—you can also look at “20230630_Assets_over_2500,”—this is for assets placed in service and we’d be looking for the approximate CIP equivalent of this type of report.

- When we looked through the ACFR financial report draft we saw the pension liability had been updated. Can you please also take a look at the deferred inflows/outflows and the footnote—they appear to be pulling in as negatives which could just be a formula issue, but then comparing back to the PBCs provided (or the prior year report just as an approximation) shows significant changes and possible missing numbers.
 - The financial report itself is in Suralink #43 under “Financial Reporting.” Most information in this comment (and below) would relate to the Excel file (IA City School Rev 20280819) but then the word file may need some changes to be consistent with whichever changes are made.
 - Please note there was also a GASB 68 calculation spreadsheet PBC provided to us. I’m not seeing on Suralink and so I’ve reached out to my staff as I believe this was likely provided directly via email. I’m not sure if Adam would have a copy—the spreadsheet appears to have been named “Sample_2023_GASB_68_Calculator_4949B40931DC2.xlsx.” My staff are in an all day training but have sporadic access to their emails, so I’m not sure how timely I’ll get a response from them. Once I hear back from them I’ll respond with an update—if this original calculation PBC is on Suralink and I’ve merely missed I’ll indicate that, otherwise if it was provided via email but never uploaded I’ll upload the original version provided via email just so it is readily accessible by everyone.
- Similarly on the ACFR we are seeing differences regarding the self-insurance liability. Claims payable on the internal service fund statement shows up as \$1,515,321, however in Note 8 the ending balance is \$648,045. Based on the earlier PBCs/audit work we did we had expected a third number different than either of these—we wanted to verify whether there was just a mistake or whether some of our audit documentation is out of date.
 - Similarly this primarily references the financial report in Suralink #43. However the question about the liability we had expected is referencing the PBC at #19 or #20 (same PBC) in the IBNR/IPERS/OPEB section, where the self-insurance liability was calculated for the current year.
- Just as a general item to check on the ACFR, there are a number of check figures set up throughout to check for consistency between tabs and we’re seeing some showing variances (in general these are set up to equal zero if they are correct). You’d have to check on a case-by-case basis as not every number/formula off to the side or below is a check figure, but these are a quick way of identifying if there are inconsistencies in the report.
 - See above—this references the report in Suralink #43 as well.

Thank you,

Aaron Calderon

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To: Alan Moran <moran.alan@iowacityschools.org>; Calderon, Aaron <Aaron.Calderon@rsmus.com>
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Subject: RE: EXT: Re: New ICCSD Director of Financial Reporting

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Attachments:

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- image002.png** 2.4k
- image003.png** 2.3k
- image004.png** 3.1k
- image005.png** 87k

moran.alan@iowacityschools.org Alan Moran

Thursday, October 10, 2024 at 8:18:01AM Central Daylight Time

To: Kristen.Hughes@rsmus.com Hughes, Kristen
Cc: Aaron.Calderon@rsmus.com Calderon, Aaron, kurth.adam@iowacityschools.org Adam Kurth

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Aaron.Calderon@rsmus.com Calderon, Aaron

Thursday, October 10, 2024 at 11:51:46AM Central Daylight Time

To: moran.alan@iowacityschools.org Alan Moran

Cc: kurth.adam@iowacityschools.org Adam Kurth, Kristen.Hughes@rsmus.com Hughes, Kristen

Hello Alan,

There's nothing wrong with what you've said—you're correct that the entry should debit depreciation expense and that is the way it gets reflected on the financial statements (the depreciation expense will then be allocated to the various functional categories of expenses).

What I will say is that when you get into logistics of booking entries into the GASB 34/government-wide trial balance things do get messy and—speaking generally—we'll often see organization's trial balances not tie exactly to the financials. Organizations may record balances and activity in a way that works for their own internal tracking purposes, knowing that the entries can't necessarily be taken literally but also that the process of preparing the government-wide financials will require manual reconciliation work regardless and so these types of practices won't cause misstatements as long as the reconciliations are done appropriately. Some organizations won't even maintain a GASB 34/government-wide trial balance and will instead track this information through a series of reconciliations in Excel (which certainly isn't recommended). Similarly, when we are reviewing a report and tying out the fund financials we'll tie directly to the trial balance, whereas when we tie out the government-wide financials we'll review reconciliations from the funds to the government-wide statements rather than attempting to tie to a trial balance directly. I only mention those as indicative of how this can get messy—most organizations we work with do use a GASB 34/government-wide trial balance just like the District does, but it isn't out of the norm for this to be used for only certain internal tracking purposes and to not necessarily tie literally line-by-line to the government-wide financials in the report or to “make sense” on its own—this is especially true for the statement of activities since the format of that statement changes completely from what is in the fund statements.

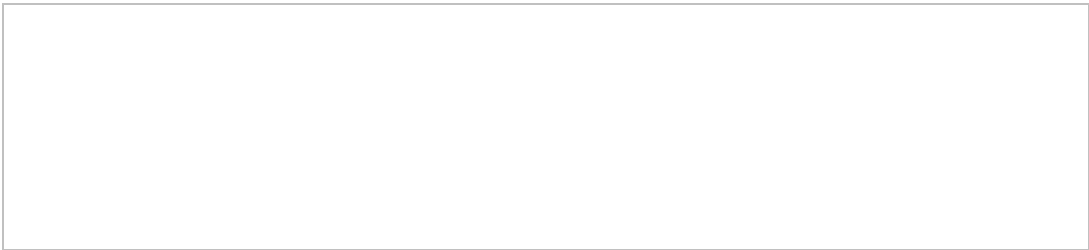
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Please let me know if that makes sense or if you have any questions!

Thank you,

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Attachments:

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image005.png 87k

moran.alan@iowacityschools.org Alan Moran

To: Aaron.Calderon@rsmus.com Calderon, Aaron

Cc: kurth.adam@iowacityschools.org Adam Kurth, Kristen.Hughes@rsmus.com Hughes, Kristen

Thursday, October 10, 2024 at 12:19:28 PM Central Daylight Time

It does. I think I'm going to change this process and book depreciation, accruals and the like through expenses. The activity on the GASB 34 reconciliation looks like it occurs in funds that would insulate these transactions from the other P&L reports. I think this will really help with preparing the financials more timely, but also with the reconciliations between reports. The practice of booking to fund balances makes me uneasy so once I can get the 2023 reports compiled, I'll change the process moving forward.

I'm balanced on all of the Balance sheets at this point, but still trying to square away the change in fund balance on the statement of activities, but I've cleared up about \$90MM of variance there, I'm hoping what remains is all within the GASB 34 reconciliation that didn't appear to get updated / completed, so I'm working my way through tying that out.

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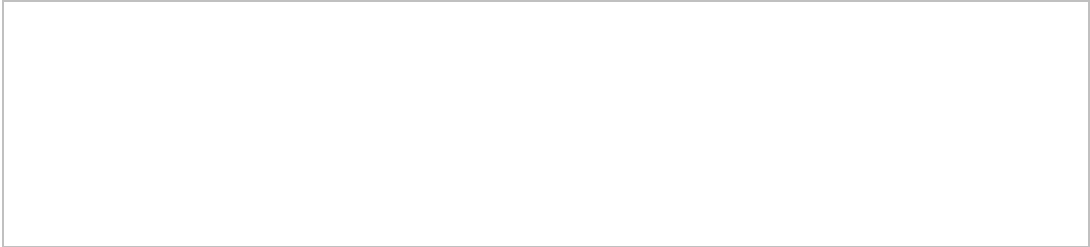
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Attachments:

image001.png 2.3k

image002.png 2.4k

image003.png 2.3k

image004.png 3.1k

image005.png 87k

moran.alan@iowacityschools.org Alan Moran

Friday, December 20, 2024 at 9:22:16AM Central
Standard Time

To: Kristen.Hughes@rsmus.com Hughes, Kristen, kurth.adam@iowacityschools.org Adam Kurth

Cc: Aaron.Calderon@rsmus.com Calderon, Aaron

Bcc: degner.matt@iowacityschools.org Matt Degner, ramey.chace@iowacityschools.org Chace Ramey

Good news, bad news:

Off the top, we are off for two weeks, if you need me to check my email, please text me at [REDACTED], but hopefully you are getting some time off.

I have the financial statements uploaded, along with some workpapers in the report folder. There is a tab called GLTB where I have entries I posted to balance out the financials (A lot of entries to adjust opening balances and things like that). While these flow through to the proper place on the consolidated balance sheet, I have not posted yet because I need to make sure my account structure is clean, and there are quite a few entries.

The bad news is that while my net fund balance reconciles and rolls forward, [REDACTED] [REDACTED] [REDACTED] You should be able to work everything else and this should be a minor thing at the end since the net fund balance ties, [REDACTED]. If you have anything on this front that can help me get to his balances so I can roll this forward, it would be appreciated.

I also redid the CIP and FA detail. CIP includes opening CIP, additions tied to the ledger, and then the resolution of if it was moved to capitalization or remained in CIP (A few items were closed projects and flushed through as expenses). There is an adjustment to FA [REDACTED] [REDACTED] [REDACTED]

Please let me know as soon as you have any questions or additional documentation needed, I'm sure you will have some questions. I focused on the balance sheet to get these completed (IF your balance sheet is correct, your income statement should be as well.)

There are also a couple minor footnotes that need updating, but just informational stuff.

ON another note, we need to discuss our capitalization thresholds so I can get these fixed before the end of year 2025. We are far too big an entity to be at \$2,500.

Like I said, if you have anything to help me with the fund balances, it would be appreciated, otherwise I'll get that reconciled out after break.

I'm going to work with the team on improving our documentation. [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED]

Have a great holiday!

-Alan

moran.alan@iowacityschools.org Alan Moran

Wednesday, January 8, 2025 at 12:58:41 PM Central
Standard Time

To: kurth.adam@iowacityschools.org Adam Kurth

Adam,

Before I go bugging RSM about the workpapers I sent, Have you reached out to them already?

Alan Laurits Moran, CPA
He/him/his ([what is this?](#))
Director of Financial Reporting
Iowa City Community School District
1725 North Dodge Street
Iowa City, IA 52245-9589
Phone: 319.688.1000
Fax: 319.688.1009
<http://www.iowacityschools.org>

On Fri, Dec 20, 2024 at 9:22AM Alan Moran <moran.alan@iowacityschools.org> wrote:

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The bad news is that while my net fund balance reconciles and rolls forward, [REDACTED] [REDACTED] [REDACTED]. You should be able to work everything else and this should be a minor thing

at the end since the net fund balance ties, It's just irritating trying to figure out his allocations without any documentation. If you have anything on this front that can help me get to his balances so I can roll this forward, it would be appreciated.

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Have a great holiday!

-Alan